
Q3 2026 board update

Sample Co. · Board meeting · Sample data

CEO, Sample Co. · 2026-10-04

Q3 beat plan, but SMB churn puts year-end ARR \$230k short; we propose moving two hires to onboarding

- 1 **New business is healthy: Q3 new ARR beat plan by 21%, the third straight quarter above plan**

- 2 **SMB churn is now the binding constraint and puts year-end ARR about \$230k short**

- 3 **The churn comes from SMB accounts that never finish setup, as onboarding load rose 41%**

- 4 **Moving two Q4 sales hires to onboarding attacks the cause and saves \$110k a year**

New ARR beat plan by 21% in Q3, the third straight quarter above plan

Planned exhibit: bar — new ARR vs plan by quarter, Q1-Q3 2026, \$k (actual highlighted)

Layout: exhibit_takeaways

Evidence needed

- E1 New ARR Q1/Q2/Q3 2026: \$900k / \$1,000k / \$1,150k [SAMPLE]
- E2 Plan new ARR Q1/Q2/Q3: \$850k / \$950k / \$950k [SAMPLE]
- E3 Q3 new ARR vs plan: +21% (Q1 +5.9%, Q2 +5.3%) [CALC]

Ending ARR of \$11.05M beat plan by 1.4%, a smaller margin than new ARR because churn rose

Planned exhibit: table — Q3 ARR bridge: begin, new, expansion, contraction, churn, end vs plan, \$k

Layout: exhibit_takeaways

Evidence needed

- E4 Q3 ARR bridge: begin \$10,160k + new 1,150 + expansion 300 – contraction 80 – churn 480 = end \$11,050k [SAMPLE]
- E5 Q3 ending ARR vs plan \$10,900k: +\$150k, +1.4% [CALC]
- E6 Q3 beat on new ARR (\$200k) vs beat on ending ARR (\$150k) [CALC]

SMB churned ARR more than doubled since Q1 and now offsets a third of new bookings

Planned exhibit: stacked bar — churned ARR by segment (SMB, mid-market), Q1-Q3 2026, \$k

Layout: exhibit_takeaways

Evidence needed

- E7 SMB churned ARR Q1/Q2/Q3: \$170k / \$220k / \$390k [SAMPLE]
- E8 Mid-market churned ARR Q1/Q2/Q3: \$70k / \$80k / \$90k [SAMPLE]
- E9 Q3 SMB churned ARR as share of Q3 new ARR: 34% [CALC]

If the SMB trend continues, year-end ARR lands about \$230k below the \$12.0M plan

Planned exhibit: table — Q4 projection: Q3 end, new, expansion, contraction, churn, year-end vs plan, \$k, with assumptions

Layout: table

Evidence needed

- E10 Q4 projected year-end ARR: \$11,770k, \$230k below \$12,000k plan [CALC]
- E11 Q4 new ARR, expansion, contraction equal Q3 (1,150 / 300 / 80) [ASSUMPTION]
- E12 Q4 SMB churned ARR \$560k; mid-market \$90k [ASSUMPTION]

Most SMB accounts that churned in Q3 never finished setup in their first 30 days

Planned exhibit: bar — Q3 churned SMB accounts by setup status (finished within 30 days vs not), count

Layout: exhibit_takeaways

Evidence needed

- E13 Q3 churned SMB accounts: 61, of which 44 (72%) never finished setup within 30 days [SAMPLE]

Accounts that finish setup churn at about a fifth of the rate of those that do not

Planned exhibit: bar — 90-day churn by setup status, Jan-Jun 2026 SMB cohort, %

Layout: exhibit

Evidence needed

- E14 90-day churn, Jan-Jun 2026 SMB cohort: 4% if setup finished within 30 days, 19% if not (ratio 0.21) [SAMPLE]

Setup completion fell from 68% to 55% as new accounts per specialist rose 41%

Planned exhibit: line — setup completion within 30 days (%) and new accounts per specialist per month, Q1-Q3 2026

Layout: exhibit_takeaways

Evidence needed

- E15 Setup completed within 30 days: 68% / 61% / 55% (Q1-Q3) [SAMPLE]
- E16 New SMB accounts per specialist per month: 42.5 / 50 / 60 (+41% Q1→Q3) [CALC]

Shifting two Q4 sales hires to onboarding saves \$110k a year and recovers about \$82k of Q4 ARR

Planned exhibit: two columns — plan as approved (4 AEs) vs proposed (2 AEs + 2 onboarding specialists): annual cost, Q4 ARR effect

Layout: two_column

Evidence needed

- E17 Annual cost: 2 AEs \$300k vs 2 onboarding specialists \$190k; saving \$110k [CALC]
- E18 At-risk backlog: 170 active SMB accounts not set up after 30 days; average SMB ARR \$6.4k [SAMPLE]
- E19 Q4 ARR recovered if half the backlog is set up: about \$82k [CALC]
- E20 New AEs need about 5 months to ramp, so Q4 hires add little Q4 bookings [ASSUMPTION]

The cost is slower sales capacity in 2027, which Sales has not yet sized

Planned exhibit: two columns — what we give up (2 fewer AEs ramping into 2027) vs what we keep (Q4 bookings nearly unchanged)

Layout: two_column

Evidence needed

- E20 New AEs need about 5 months to ramp, so Q4 hires add little Q4 bookings [ASSUMPTION]
- **[DATA NEEDED] 2027 new-ARR capacity with 2 vs 4 Q4 AE hires, \$k, from Sales capacity model; owner: VP Sales**

We ask the board to approve the swap and a revised year-end forecast of \$11.85M

Planned exhibit: three asks with owner and date

Layout: recommendations

Evidence needed

- E10 Q4 projected year-end ARR: \$11,770k, \$230k below \$12,000k plan [CALC]
- E19 Q4 ARR recovered if half the backlog is set up: about \$82k [CALC]
- E21 Revised year-end ARR forecast \$11.85M [CALC]
- **[DATA NEEDED] 2027 capacity model (see slide 11), due before January board; owner: VP Sales**

Cash runway stays near 22 months at the current \$650k monthly burn

Planned exhibit: table — cash, monthly net burn, runway

Layout: appendix

Evidence needed

- E22 Cash at end of Q3: \$14.2M [SAMPLE]
- E23 Net burn: about \$650k a month [SAMPLE]
- E24 Runway: about 22 months [CALC]

Q1-Q3 2026 metrics by quarter

Planned exhibit: table — Q1-Q3 ARR movements, plan, churn by segment

Layout: appendix

Evidence needed

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- E4 Q3 ARR bridge: begin \$10,160k + new 1,150 + expansion 300 – contraction 80 – churn 480 = end \$11,050k [SAMPLE]
- E7 SMB churned ARR Q1/Q2/Q3: \$170k / \$220k / \$390k [SAMPLE]
- E8 Mid-market churned ARR Q1/Q2/Q3: \$70k / \$80k / \$90k [SAMPLE]